

Stage Analysis Strategy

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Stage Analysis: The 4-Market Cycle Framework

Summary of the video "Trading \$50M At 25 Using One SIMPLE Market Cycle Strategy (4 Stages) - Ted Zhang" by Chart Fanatics.

Ted Zhang, who manages \$400M+ at age 25, teaches stage analysis—a timeless price cycle framework identifying four repeating market phases (downtrend, base, uptrend, top) using moving averages. This universal system applies to stocks, crypto, commodities, bonds, and currencies, helping traders align with the long-term trend and avoid costly choppy periods. The key: forget the first and last eighth of a move; catch the profitable middle 68%.

The Four Stages of Price Cycles

Stage 4: Downtrend (Avoid)

Price builds lower highs and lower lows, trading below the 10, 30, and 40-week moving averages with bearish alignment (10 below 30 below 40). This is when institutions are distributing; retail should stay out or short. Damage can be severe—some stocks drop 66–78% in this phase.

Stage 1: Basing (Avoid/Prepare)

Price oscillates sideways; moving averages converge and slice through price. News is terrible, sentiment is worst, yet price refuses to fall further—institutions are quietly accumulating. This stage can last weeks to years and is choppy; early entry risks whipsaws.

Stage 2: Uptrend (Buy/Hold)

Price builds higher lows and higher highs, surfing above all moving averages ($10 > 20 > 30 > 40$). This is the profitable zone where institutions are buying. Stocks trend at a 45° angle or steeper. This is where most gains are made—catch the middle 68% of the move.

Stage 3: Topping (Sell/Exit)

Price fails to make new highs despite good news; moving averages catch up and flatten. Rate of change slows, then reverses. Price oscillates wide and loose between moving averages. This mirrors Stage 1 but at the top; institutions distribute. News is best, but price disappoints.

How to Identify Each Stage

The Moving Average Stack

Use 10, 20, 30, and 40-week simple moving averages. In uptrends, they stack bullishly ($10 > 20 > 30 > 40$); in downtrends, bearishly ($10 < 20 < 30 < 40$). When they converge and flatten, a transition is near. This visual alignment is the fastest way to gauge market structure.

Rate of Change (Slope)

Watch how steeply price moves. A flat rate of change signals a transition; a 45° angle is healthy uptrend; vertical/parabolic moves often precede tops. Use the slope of the moving averages themselves as a proxy—steeper gaps between them = stronger trend.

Price Structure

Uptrends show higher lows and higher highs; downtrends show lower lows and lower highs. Sideways bases show oscillation with no clear direction. This price action alone, independent of moving averages, tells the story—MAs just smooth and confirm it.

Universal Application Across Asset Classes

Equities: ARK Innovation ETF (ARKK)

ARKK showed a textbook 2-year Stage 1 base (early 2023–May 2025), then entered Stage 2. Before that, a 1-year Stage 2 uptrend, followed by Stage 3 topping and Stage 4 crash. The framework predicted the top and bottom without predicting the future—just following cycles.

Cryptocurrency: Bitcoin

Bitcoin cycles are cleaner because there's no earnings, no CEO fraud, no short reports—only supply, demand, and human emotion. 2017 top, 2018–2020 downtrend, 2020–2021 uptrend, 2022 crash, 2023–present base forming. Same four stages, same moving average rules.

Commodities: Gold & Silver

Gold formed a 10-year cup-with-handle base (Stage 1), then entered a 2-year Stage 2 uptrend. Silver made a parabolic Stage 2 move (150% in 10 weeks), then crashed 72% in 16 weeks (Stage 4). Commodities are pure supply/demand; stage analysis works identically.

Fixed Income: 10-Year Treasury Futures

Bonds entered Stage 4 in 2022 (25% drop), while traditional advisors held 60–70% bonds for 'safety.' Stage analysis revealed the danger: bonds and stocks both crashed together. Bond yields (inverse to prices) showed Stage 2 uptrend while bonds crashed—a key warning sign.

Currencies: US Dollar Index (DXY)

Dollar entered Stage 2 uptrend in 2022 (when Fed raised rates to 5%), then topped and entered Stage 3/4 as rate hikes paused. Same moving average rules apply; currency traders can use stage analysis to time entries and exits.

Soft Commodities: Cocoa, Coffee, Orange Juice

Cocoa surged 200%+ in Stage 2 (fungus destroyed African crops), then crashed in Stage 4. Coffee and OJ follow identical cycles. Supply shocks create stage transitions; stage analysis captures the move without predicting the catalyst.

Real-World Trading Nuances

Failed Breakouts & Fake Stage Transitions

A stock can break above moving averages (looking like Stage 2) but fail and re-enter Stage 4. Moderna is a prime example: three failed Stage 2 breakouts before finally holding. Risk management (stop losses) is essential; follow your system, not hindsight.

Stage 4 Mean Reversion Trade (Advanced)

If a stock crashes far below the 30/40-week MAs (Stage 4 extreme), it may bounce back to those MAs as support. This is a mean reversion trade, not a Stage 2 entry. Ethereum example: caught a bounce from extreme Stage 4 lows back to the 200-day MA on the daily chart.

Catalyst-Driven Transitions

News alone doesn't move markets; price does. But catalysts (earnings, Fed decisions, product launches) often trigger stage transitions. ChatGPT launch sent Nvidia from Stage 1 base into Stage 2 uptrend. Back price analysis with narrative for conviction, but don't trade the news—trade the stage.

The First Multi-Month Base Setup

After a big Stage 2 move, the first multi-month consolidation (base) often precedes the next leg up. This is a high-probability entry point. Rare Earth ETF example: after a linear Stage 2 move, a tight multi-month base formed, then broke out for another 25–30% gain.

Fractal Nature: Works on All Timeframes

Stage analysis applies to weekly, daily, hourly, and even 5-minute charts. Swing traders use daily 10/20/30/40-period MAs; day traders use hourly or 5-minute equivalents. The pattern repeats; you must build reps on your chosen timeframe to master it.

Why This Framework Works

Timeless Principle: Cycles Everywhere

Cycles appear in cell division, business booms/busts, credit cycles, water cycles, and human emotion (fear to greed). Markets are no exception. Jesse Livermore observed this 100 years ago; it remains true today. Stage analysis is not a prediction tool—it's a pattern recognition tool based on universal law.

Forget the First & Last Eighth

Jesse Livermore's rule: the first eighth (Stage 1) and last eighth (Stage 3) of a move are the most expensive and choppy. Forget them. Catch the middle 68% (Stage 2 uptrend or Stage 4 downtrend). This simple rule eliminates FOMO and prevents buying tops or selling bottoms.

Protects Against Catastrophic Drawdowns

Stage 4 downtrends can wipe 50–80% of value. By staying in Stage 2 and avoiding Stage 3/4, asset managers protect client capital. This is especially critical for retirees who can't afford 30–40% losses. Stage analysis is a risk management tool first, profit tool second.

Removes Prediction; Adds Probability

Ted says: 'It's impossible to predict the future.' But studying cycles gives you an idea of what to expect. If a stock is in Stage 2 and the moving averages are bullishly aligned, the higher-probability move is up—not down. This is not prediction; it's probabilistic thinking.

Practical Implementation

Screening & Monitoring

Ted uses basic filters (price, volume) and visual inspection on charting platforms like DeepView, which categorizes stocks by stage. He reviews ETFs and sector leaders daily to gauge market health. If most stocks are in Stage 3/4, the market is topping; if in Stage 2, it's healthy.

Entry Signals (Stage 2)

Wait for price to close above all four moving averages (10, 20, 30, 40) with the 10 above the 20 and 30. Volume should confirm. On the daily chart, look for a pullback to the 10/20 MA for a lower-risk entry. This is not the absolute bottom, but it's a high-probability entry.

Exit Signals (Stage 3)

When price fails to make new highs, MAs flatten and converge, and price starts oscillating wide and loose, it's time to scale out. Don't wait for Stage 4 crash. Take profits on strength; manage risk by exiting before the damage is done.

Layering Conviction: Price + Narrative + Catalyst

Stage analysis alone is powerful, but pair it with fundamental story (earnings, product launch, macro trend) and technical catalyst (earnings beat, Fed decision) for maximum conviction. This is how professional asset managers operate—not just price, but price + story.

Key Stocks & Cycles Analyzed

Nvidia: AI Supercycle

Nvidia crashed in 2022 (Stage 4), based in 2023 (Stage 1), then exploded in Stage 2 after ChatGPT launch (Nov 2022). It briefly looked like Stage 3 (tariff concerns), but re-entered Stage 2 due to AI demand. Currently in potential Stage 3 but could extend Stage 2 with new chip releases (H200, B300).

Tesla: Boom & Bust Cycle

Tesla surged 2,500% from 2019–2021 (Stage 2), topped in 2021 (Stage 3), then crashed 76% by 2022 (Stage 4). Now in Stage 1 base. The cycle shows how even mega-cap companies follow stage analysis; no stock is immune.

Abercrombie & Fitch (ANF): Textbook Cycle

ANF showed a perfect full cycle: Stage 4 downtrend, Stage 1 base, Stage 2 uptrend (800% in 52 weeks), Stage 3 topping, Stage 4 crash. The 800% move was nearly linear—a rare clean Stage 2. This is the ideal setup to hunt for.

Moderna (MRNA): Failed Breakouts & Persistence

Moderna had three failed Stage 2 breakouts before finally holding. Each failure re-entered Stage 4. This teaches a crucial lesson: follow your system, manage risk, and try again. The third attempt worked, yielding a 100%+ move.

RGTI (Rigetti): Real-Time Stage Transitions

RGTI crashed in Stage 4, then showed a potential Stage 1 base. It entered Stage 2 briefly, failed, re-entered Stage 4, then finally broke out into a sustained Stage 2 after Google's Willow chip announcement. This real-time example shows how to manage multiple failed attempts.

Rare Earth ETF (REE): Multi-Month Base Setup

REE showed a linear Stage 2 move, then formed a tight multi-month base (first consolidation after big move). This base broke out into another 25–30% leg up. This is Ted's favorite setup: high-probability, lower-risk entry after a proven trend.

Uranium: 20-Year Cup-with-Handle

Uranium formed a 20-year cup-with-handle base (Stage 1), now breaking out into Stage 2. Fundamental catalyst: AI requires massive energy; nuclear is safe and efficient. This is a current position in Ted's portfolio; watch for breakout above 33.80.

Notable quotes

It's impossible to predict the future. Anyone who says they can predict the future is just full of crap. — Ted Zhang

Forget the first eighth of a move and the last eighth. Just catch that 68% in the middle. — Ted Zhang (citing Jesse Livermore)

If there was a way to predict the future, it'd be studying cycles. — Ted Zhang

Action items

Pull up a stock or ETF chart and plot the 10, 20, 30, and 40-week simple moving averages. Identify which stage it's in using the alignment and price structure.

Review the full price cycles of 5–10 stocks or ETFs (suggested: ARKK, ANF, NVDA, TSLA, SMCI). Screenshot each stage transition and label it. Build visual reps.

Set up a daily market review: scan 10–15 sector ETFs or market leaders. Categorize each by stage. If most are in Stage 3/4, be cautious; if in Stage 2, be bullish.

On your next potential trade, wait for a stock to transition from Stage 1 to Stage 2 (price above all four MAs, 10 > 20 > 30 > 40). Enter on a daily pullback to the 10/20 MA, not at the breakout.

Backtest stage analysis on a commodity (gold, silver, cocoa) or crypto (Bitcoin, Ethereum) using 10, 20, 30, 40-week MAs. Verify that Stage 2 uptrends outperform Stage 1/3 choppy periods.

Layer in fundamental research: when a stock is in Stage 1 or transitioning to Stage 2, dig into the news, earnings, and macro catalysts. Pair technical stage with narrative for conviction.

Practice on lower timeframes: if you're a swing trader, apply stage analysis to daily charts with 10, 20, 30, 40-period MAs. Build reps on your chosen timeframe.

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